

vided fantastic relief from the suffering from ulcers, and the direct beneficiaries had to keep taking it again and again, making indirect beneficiaries out of the shareholders of SmithKline Beckman, the makers of Tagamet. Thanks largely to Tagamet, the stock rose from \$7½ a share in 1977 to \$72 a share at the 1987 high.

These users and prescribers had a big lead on the Wall Street talent. No doubt some of the oxymorons suffered from ulcers themselves—this is an anxious business—but SmithKline must not have been included on their buy lists, because it was a year before the stock began its ascent. During the testing period for the drug, 1974–76, the price climbed from around \$4 to \$7, and when the government approved Tagamet in 1977, the stock sold for \$11. From there it shot up to \$72.\*

Then if you missed Tagamet, you had a second chance with Glaxo and its own wonder drug for ulcers—Zantac. Zantac went through testing in the early eighties and got its U.S. approval in 1983. Zantac was just as well-received as Tagamet, and just as profitable to Glaxo. In mid-1983 Glaxo's stock sold for \$7.50 and moved up to \$30 in 1987.

Did the doctors who prescribed Tagamet and Zantac buy shares in SmithKline and Glaxo? Somehow I doubt that many did. It's more likely that the doctors were fully invested in oil stocks. Perhaps they heard that Union Oil of California was a takeover candidate. Meanwhile, the Union Oil executives were probably buying drug stocks, especially

\* Throughout the day I'm constantly referring to stock charts. I keep a long-term chart book close to my side at the office, and another one at home, to remind me of momentous and humbling occurrences.

What most people get out of family photo albums, I get out of these wonderful publications. If my life were to flash before my eyes, I bet I'd see the chart of Flying Tiger, my first tenbagger; of Apple Computer, a stock I rediscovered thanks in part to my family; and Polaroid, which makes me remember the new camera that my wife and I took on our honeymoon. That was back in a more primitive era, when we had to let the film develop for sixty seconds before we could see the picture. Since neither of us had a watch, Carolyn used her physiology training and counted out the seconds with her pulse.